

BUS63-2

Tech & Platform Strategies

Platform economics, network effects, multi-sided markets, SaaS metrics, data moats, and competitive analysis under AI uncertainty

Strategy reasoning tested against the markets where the classical frameworks partially break.

Albert School — 22 hours

Preface

You do not arrive empty-handed, and this course is built on the assumption that you do not. From **Business Models & Value Creation** (BUS23-2) you can decode the economic architecture of a firm — how it creates value, how it captures some of that value, and where it is structurally fragile. You can compute **unit economics** — CAC, LTV, LTV/CAC, gross margin, contribution margin, break-even — in your sleep, and you know the difference between a business that creates enormous value and one that **captures** it. From **Competitive Strategy** (BUS33-2) you can read an industry with Five Forces, test a resource for durability with VRIO, deconstruct an activity system, position a firm with generic strategies and the Blue Ocean canvas, and model rivalry as a game of signalling, commitment, and reputation. Crucially, BUS33-2 also taught you that **every framework has boundary conditions** — and it flagged, without yet resolving, the place where Five Forces breaks hardest: **platform and network-effect markets**.

This course goes to exactly that place. It is the **Evolve** stage of the four-stage Strategy arc — Build (BUS23-2) → Compete (BUS33-2) → Evolve (this course) → Allocate (BUS63-4 Strategic Allocation, the S6 capstone). The arc’s logic is cumulative: you learned to design a firm, then to make it compete, and now you must make it compete **in the domains where the classical tools partially fail**. On a multi-sided platform, the same actor is simultaneously your supplier and your buyer. In a network-effect market, value comes from the **size of the user base**, not from industry structure, and increasing returns concentrate the market on one or two winners rather than spreading profit thin. When an AI advantage is built on a **data flywheel**, “is this resource inimitable?” stops being a yes/no question and becomes a question about **replication conditions** you must learn to test. The frameworks do not become useless — they become **instruments with a sharper range**, and the discipline of this course is knowing where that range ends.

There is one more reason platforms deserve their own course: they are where the most valuable companies of your lifetime are being built and destroyed, and where the most confident strategic mistakes are made. A clean Five Forces analysis of a platform business is **worse than no analysis**, because it is confidently wrong. A SaaS company celebrated for explosive growth can be quietly insolvent on a cohort basis. An AI “moat” can be a first-mover narrative that a competitor replicates in eighteen months. The job of this course is to give you the reasoning that separates the structural from the illusory — and to insist, as BUS33-2 did, that the deliverable is never a framework recited but a **quantified, defensible recommendation** under a time constraint.

We end where the arc demands: a **unified competitive analysis** of a real technology company — platform economics, SaaS metrics, ecosystem positioning, and AI strategy integrated into one diagnosis, delivered in **pyramid structure** under time pressure, and handed forward to Strategic Allocation, which converts competitive logic into portfolio and capital-allocation decisions. By then the reflex this course exists to build should be automatic: when you meet a platform, a flywheel, or an AI claim, never to recite a framework, but to ask — **what makes this self-reinforcing, who can replicate it, and at what scale does it tip?**

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1 Pipeline versus platform economics

1.1 Two ways to run a hotel business

Marriott owns or leases buildings, employs staff, buys linen and furniture, and sells rooms. To grow, it must add **more rooms** — more capital, more buildings, more cost. Airbnb owns no rooms. It built a piece of software that lets **hosts** list space and **guests** book it, and to grow it need only attract more of each. In 2016 Airbnb listed more rooms than the largest hotel chains combined, with a fraction of the assets and the staff. Same underlying need — a place to sleep tonight — two utterly different **economic architectures**. Marriott is a **pipeline**; Airbnb is a **platform**. Until you can tell which one you are analysing, every other tool you reach for may be the wrong one.

Definition 1 (pipeline and platform) A **pipeline** business creates value through a **linear** sequence of steps it controls: it sources inputs, transforms them into a product or

service, and delivers that to a customer. Value flows in one direction, producer → consumer, and the firm **owns** the activities in between (Porter's value chain, BUS33-2).

A **platform** business creates value by **enabling direct interactions** between two or more groups of users it does not employ — typically **producers** and **consumers** — and capturing a share of the value of those interactions. The platform owns the **infrastructure and the rules of interaction**, not the inventory; its core asset is the **community and the interactions**, not a production chain.

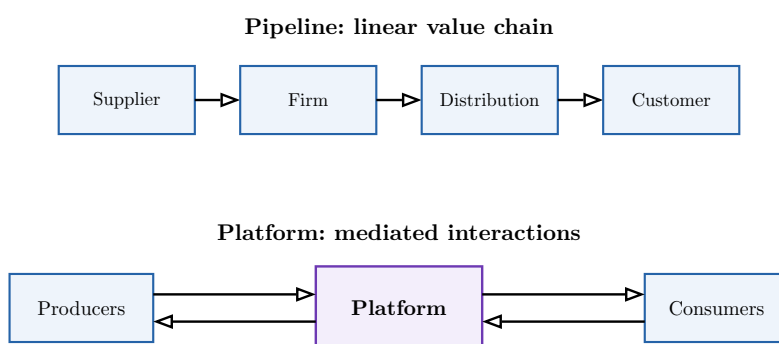


Figure 1: Pipeline versus platform. The pipeline (top) transforms inputs into outputs along a chain the firm owns. The platform (bottom) sits **between** two groups of users it does not own and enables their interaction in both directions, capturing a slice of the value created. The strategic questions — what creates value, what is defensible, where the framework applies — differ accordingly.

1.2 Value creation and value capture, re-examined

In a pipeline, **value is created where the firm transforms inputs and captured** through the margin between price and cost — the logic of BUS23-2. On a platform, value is created **by the users, in their interactions**, and the platform captures a share by charging for access, for transactions, or for enhanced visibility. This shift has two consequences that trip up the unwary analyst.

Definition 2 (value creation and capture on a platform) On a platform, **value creation** is the surplus generated when a producer and a consumer transact who could not easily have found each other otherwise (a host and a guest, a driver and a rider, a developer and a user). **Value capture** is the share of that surplus the platform extracts — through a **take rate** (commission per transaction), **access fees** (subscriptions to participate), **advertising** (selling attention on the subsidised side), or **data** monetisation. A platform that creates enormous value can still capture little if the sides can transact **off-platform** once introduced (**disintermediation**), or if a rival forces the take rate down.

Worked example — Why OpenTable captures less than it creates. OpenTable creates real value: a diner finds a table, a restaurant fills a seat. But once a diner knows a restaurant, they book directly next time — the introduction was a one-off, so OpenTable struggles to capture the **repeat** value it helped create (**disintermediation**). Compare Uber, where the rider has no relationship with the individual driver and the platform **is** the trust and the dispatch: the interaction cannot easily move off-platform, so capture tracks creation far more closely. The lesson is general — **value capture on a platform depends on how hard it**

is for the two sides to transact without you once you have introduced them. This is the platform analogue of BUS23-2's value-creation-versus-capture distinction, and it is the first thing to test on any platform business.

1.3 Why Five Forces applies differently

BUS33-2 taught Five Forces and warned you it breaks on platforms. Now we can say **precisely how**, because the platform definition exposes the broken assumptions.

Common pitfall Five Forces assumes (i) a **well-defined industry**, (ii) firms, suppliers, and buyers as **distinct roles**, and (iii) advantage flowing from **industry structure**. All three fail on platforms:

- The **roles collapse**. A “supplier” (the host, the driver, the third-party seller) is summoned by the same platform that serves the “buyer”, and is often a buyer on the other side. Supplier power and buyer power are no longer separate forces — they are **two sides you must simultaneously attract and balance**.
- The **industry has no stable boundary**. Is Amazon in retail, logistics, cloud, or advertising? The “threat of substitutes” and “rivalry” become unanswerable until you fix a boundary, and fixing it is itself a strategic choice.
- A **sixth force dominates: complementors** — firms whose products make the platform more valuable (app developers for iOS, accessory makers, payment providers). On platforms, the supply of complements often matters more than any of the original five.

Run Five Forces on a platform **only** after stating the boundary explicitly, and expect the binding constraint to be **the health of the two sides and the complementor ecosystem**, not the classical five.

The rest of this book builds the tools the classical frameworks lack: a theory of **network effects** (Chapter 2) to explain self-reinforcement, a **multi-sided market** framework (Chapter 3) to handle the collapsed roles, and a model of **winner-takes-most** (Chapter 4) to explain the concentration that Five Forces cannot.

Exercises

1. Take three businesses you use weekly and classify each as pipeline, platform, or a hybrid that runs both. For each, name where value is created and how it is captured.
2. For one platform, identify the disintermediation risk: how easily can the two sides transact off-platform after introduction, and what does the platform do to prevent it?
3. Attempt a Five Forces analysis of a named platform. State the industry boundary explicitly, show which of the three assumptions break, and add the complementor force.

2 Network effects

2.1 The phone that was worthless until the second one existed

The first telephone ever made was worth nothing — there was no one to call. The millionth telephone was worth a fortune, because it could reach the other 999,999. The **value of the product to each user rose as more users joined**. That is a **network effect**, and it is the engine beneath almost every platform: it is why platform markets **tip** toward a single winner, why growth can become self-reinforcing, and why a late entrant with a better product can still

lose. BUS23-2 listed network effects among defensibility mechanisms; here we take them apart, because not every “network effect” a founder claims is real, and even real ones can **reverse**.

Definition 3 (direct and indirect network effects) A **network effect** exists when the value of a product to a user **increases with the number of other users**.

- A **direct (same-side) network effect** arises when more users **on the same side** make the product more valuable to that side: each new telephone, fax, or WhatsApp user raises the value for every other user of the same kind.
- An **indirect (cross-side) network effect** arises when more users **on one side** make the product more valuable to users on the **other** side: more iPhone owners attract more app developers, and more apps attract more iPhone owners. The two sides pull each other up.

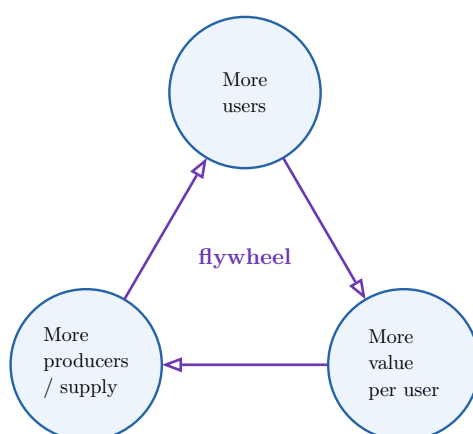


Figure 2: The self-reinforcing flywheel. More users raise the value per user (direct effect) and attract more producers/supply, which raises value further and pulls in yet more users (indirect effect). Each turn of the loop makes the next turn easier. The strategic prize is to start this loop and reach the point where it spins on its own.

2.2 Flywheel or congestion: the same mechanism, two signs

A network effect is not automatically a blessing. The very same dependence on user count can turn **negative** once a resource gets crowded — a road, a marketplace’s search results, a social feed full of spam. The analyst’s job is to decide which sign dominates **at the relevant scale**.

Definition 4 (positive flywheel versus congestion) A **positive network effect (flywheel)** makes each additional user **raise** value for others, producing self-reinforcing growth. A **negative network effect (congestion)** makes each additional user **lower** value for others — because a shared, capacity- limited resource degrades (Uber surge when too many riders chase too few drivers; a social network drowning in low-quality content; a marketplace where sellers cannot be found among millions). Real platforms exhibit **both**; the question is which dominates over the range of scale that matters, and what the platform does — curation, matching, pricing — to keep the positive effect ahead of the negative.

Common pitfall Three errors recur. First, **assuming all scale is good**: beyond some point, an unmanaged platform suffers congestion, and growth **destroys** value (think of a forum ruined by its own popularity). Second, **confusing a network effect with a simple scale economy**: a cost that falls with volume (BUS33-2) benefits the **firm**; a network effect

raises value for **users** — they are different moats and fail differently. Third, **assuming network effects are symmetric and permanent**: they can **reverse** catastrophically — once users start leaving, the same loop runs backwards (each departure lowers value, prompting more departures), which is how seemingly dominant networks (early social networks, messengers) collapsed almost overnight. A network effect is a moat **only while the loop spins forward**.

2.3 Do network effects make a durable moat?

Definition 5 (network effects as a moat — the test) A network effect is a **durable** competitive advantage only when three conditions hold: the effect is **strong** (value rises steeply with users, not marginally); it is **hard to replicate** because a rival would need to assemble a comparable user base from zero against your head start; and users **cannot cheaply multi-home or switch** (Chapter 4). If users can belong to several competing networks at once, or if the value plateaus quickly, the “network effect” confers little durable advantage — it is real but shallow.

Worked example — Two networks, two fates. Facebook’s social graph is a strong direct network effect: your friends are there, and a rival cannot recreate **your** friends, so switching means leaving the value behind — durable. A **food-delivery app’s** network effect is weaker: restaurants and customers **multi-home** (a restaurant lists on three apps, a customer compares prices across them), so no single app can lock the market, take rates stay contested, and “we have network effects” does not translate into durable margin. Same word, very different moats. The diagnostic is always BUS33-2’s durability question pointed at the loop: **what would a well-funded rival actually have to do to neutralise this, and can the users simply belong to both?**

Exercises

4. For a platform you use, classify its network effects as direct, indirect, or both, and identify the single strongest one with the evidence that it is strong.
5. Find a platform suffering congestion. Name the crowded resource, the point at which scale began to hurt, and the mechanism (curation, matching, pricing) it uses to fight back.
6. Apply the three-condition moat test to a platform’s network effect and judge whether it is a durable moat or a shallow one a multi-homing rival could erode.

3 Multi-sided markets

3.1 The newspaper that sold the same thing twice

A newspaper has two customers who never meet: **readers**, who pay a little (or nothing) for the content, and **advertisers**, who pay a lot to reach those readers. Neither side is worth anything to the newspaper without the other — advertisers want readers, and the journalism that attracts readers is funded by advertisers. The newspaper deliberately **loses money on one side to make it on the other**. This is the defining move of a **multi-sided market**, and getting the structure right — which side to subsidise, which to monetise, how to start the whole thing from zero — is the central strategic problem of platform design.

Definition 6 (multi-sided market) A **multi-sided market** (or multi-sided platform) serves two or more distinct groups of users whose demands are linked by **cross-side network effects** (Chapter 2): each side values the platform more when the **other** side is larger. The platform’s strategic levers are the **price and value proposition it sets for each side independently** — and because of the cross-side effects, the profit-maximising price on one side can be **zero or negative** (a subsidy), recovered on the other.

Definition 7 (subsidised side and money side) The **subsidised side** is the group the platform attracts cheaply or for free, because its presence is what makes the platform valuable to the other side. The **money (monetised) side** is the group the platform charges, because it is willing to pay for access to the subsidised side. The art is choosing correctly: subsidise the side that is (a) more price-sensitive, (b) harder to attract, and (c) more valuable as a draw to the other side. Get it backwards and the flywheel never starts.

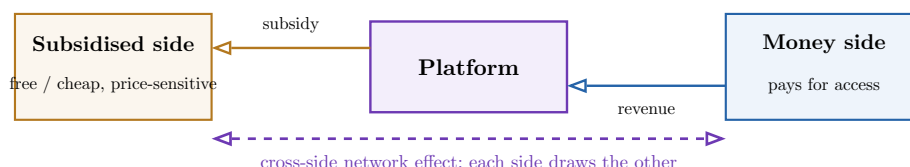


Figure 3: A two-sided market. The platform **subsidises** the side that is price-sensitive and acts as the draw (left), and **monetises** the side willing to pay for access to it (right). The dashed link is the cross-side network effect that makes the whole structure work: without it, subsidising one side would just be a loss.

3.2 Bootstrapping: solving the chicken-and-egg problem

Definition 8 (the bootstrapping problem) A multi-sided platform faces a **chicken-and-egg problem**: neither side will join until the other is present, but you cannot have either side first. **Bootstrapping** is the set of tactics that breaks the deadlock to reach **critical mass** — the user level at which cross-side network effects become self-sustaining and the platform no longer needs to subsidise growth artificially. Common tactics: **seed one side directly** (the platform itself supplies initial inventory or content), **subsidise aggressively** to buy the harder side, **start in a narrow niche** where critical mass is small and reachable (“come for the tool, stay for the network”), or **piggyback** on an existing user base from another product.

Worked example — How three platforms cracked the cold start. **OpenTable** seeded the supply side directly: it gave restaurants the reservation software (a useful tool) **before** there was any diner network, so restaurants joined for the tool and the diner network grew on top — “come for the tool, stay for the network”. **Uber** subsidised aggressively and **started in one city**: critical mass in San Francisco was a small, reachable number, and only after the loop spun there did it replicate city by city — a **niche-first** bootstrap. **PayPal** piggybacked on eBay’s existing buyers and sellers, even paying users to sign up. Three different answers to the same chicken-and-egg question, each chosen to fit **which side was harder to attract and how small critical mass could be made**. There is no universal bootstrap — there is the one that fits your sides.

Common pitfall The classic bootstrapping failure is **subsidising the wrong side** or **defining critical mass too broadly**. Subsidise the side that is **not** the genuine draw and you burn cash attracting users the other side does not actually want. Define critical mass as “national coverage” when the network effect is **local** (a ride is only useful if a driver is near **you**) and you will run out of money before any single market tips — many failed delivery and ride startups died precisely here, spreading a fixed subsidy budget so thin that no local network ever reached self-sustaining density. **Critical mass is local when the network effect is local** — start where you can win, not everywhere at once.

Exercises

7. For a named multi-sided platform, identify every side, the cross-side effects between them, and which side is subsidised versus monetised — with the evidence (pricing, free tiers) that reveals the choice.
8. Evaluate that platform’s bootstrapping strategy: which tactic did it use, what was its critical mass, and was that mass defined locally or globally?
9. Design a bootstrapping plan for a new two-sided platform, naming the side you would subsidise, the niche you would start in, and the critical-mass number you would target.

4 Winner-takes-most dynamics

4.1 Why some platform markets have one winner and others have five

Search has essentially one winner; ride-hailing in most cities has two or three; food delivery has several; cloud infrastructure has three giants. All are platform markets with network effects — so why do they concentrate so differently? Because “network effects → monopoly” is a **lazy** inference. Whether a market tips to one dominant player (“winner-takes-most”) depends on **specific structural conditions**, and an analyst who assumes every platform market becomes a monopoly will misprice half of them. This chapter gives the conditions — and, just as important, the conditions under which dominance **fails to materialise**.

Definition 9 (winner-takes-most) A market is **winner-takes-most** when structural forces drive it toward one or a few dominant players who capture a disproportionate share of value, and a late or smaller entrant — even with a better product — cannot easily dislodge them. It is the platform- era refinement of “winner-takes-all”: rarely is the winner **total**, but the leader’s share and profit are **structurally disproportionate**. The drivers are **strong network effects**, **high switching costs** / **single-homing**, **economies of scale on the supply side**, and **data feedback loops** (Chapter 7) — the more of these present and the stronger each, the more the market tips.

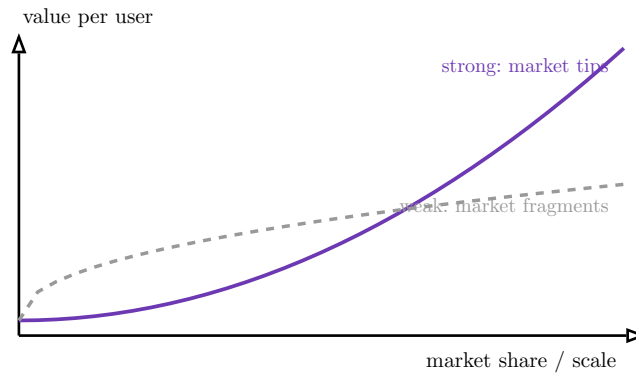


Figure 4: Why some markets tip and others fragment. When value per user **accelerates** with scale (solid), early leads compound and the market tips to one winner. When value **plateaus** quickly (dashed), being twice as big confers little extra value, several players coexist, and the market fragments. The **shape** of the value-versus-scale curve, not the mere presence of a network effect, decides the structure.

4.2 The limits of dominance: multi-homing and niche competition

Definition 10 (multi-homing) Multi-homing occurs when users on a side participate in **several competing platforms at once** (a driver running Uber and Lyft simultaneously; a merchant listed on Amazon, its own site, and eBay; a viewer subscribing to three streaming services). Multi-homing is the great **limit** on winner-takes-most: if either side can cheaply belong to multiple platforms, no single platform can lock the market, network effects are diluted, and take rates stay competitive. The strategic counter is to **raise the cost of multi-homing** — through exclusivity, loyalty, superior matching, or switching costs — and the strategic vulnerability is a rival who makes multi-homing **cheaper**.

Definition 11 (niche competition and trust limits) Even in a tipped market, dominance has limits. **Niche competition** survives where a segment has needs the giant serves poorly (a specialist marketplace for a vertical the generalist neglects). **Regulatory and trust constraints** cap dominance where antitrust intervenes, or where users distrust concentration enough to keep an alternative alive (privacy-focused search, open-source alternatives). A complete winner-takes-most analysis states not only **why** a market tips but **where the leader's dominance stops** — the niches, the multi-homing sides, and the regulatory ceilings.

Common pitfall The two symmetric errors are **over-predicting** and **under-predicting** concentration. Over-prediction: assuming any network-effect market becomes a monopoly, and so overvaluing a platform whose users multi-home freely and whose value plateaus (much of food delivery, many marketplaces). Under-prediction: dismissing a market as fragmented when strong single-homing and data loops are quietly tipping it (search, social, cloud). The discipline is to **score each structural driver explicitly** — network-effect strength, switching costs, single- vs multi-homing on each side, scale economies, data loops — and conclude from the **configuration**, not from the word “platform”. A market tips because of what the drivers say, not because platforms “tend to” tip.

Worked example — Ride-hailing: why it did not fully tip. Ride-hailing has powerful local network effects, yet most cities sustain two or three players. Why? **Both sides multi-home cheaply**: drivers run several apps on one phone and switch to whoever surges; riders compare two apps in seconds. The network effect is also **local and quickly saturating** — beyond enough drivers for a short wait, more drivers add little value, so the value-versus-scale curve plateaus. The result is persistent competition, thin take rates, and recurring subsidy wars — exactly what the structural conditions predict, and the opposite of the monopoly a naive “network effects” story would forecast. Contrast search, where users single-home, data loops compound, and the market duly tipped. Same family of business; opposite structures; the drivers explain the difference.

Exercises

10. Pick a platform market and score each winner-takes-most driver (network-effect strength, switching costs, single- vs multi-homing per side, scale economies, data loops). Conclude whether it tips and how far.
11. For a tipped market, identify the limits of the leader’s dominance: a surviving niche, a multi-homing side, and any regulatory or trust ceiling.
12. Find a market widely assumed to be winner-takes-all that has **not** tipped, and explain via multi-homing and curve-shape why the assumption was wrong.

5 Strategic SaaS metrics

5.1 When fast growth hides a leaking bucket

A SaaS company announces it tripled revenue. Impressive — until you learn it spends € 1.50 to acquire each € 1.00 of customer lifetime value, loses a third of its customers every year, and is solvent only as long as investors keep funding the gap. Another grows half as fast but **expands** revenue within its existing customers faster than it loses them, so it would grow even if it stopped acquiring entirely. From the top line they look similar; on the **unit economics** they are opposite businesses. BUS23-2 defined CAC, LTV, and LTV/CAC once, to be mobilised — not recalculated — downstream. This is downstream. Here we add the **recurring-revenue** metrics that turn those static definitions into a diagnosis of **strategic health**, and the **thresholds** that say whether a given number is healthy **at this company’s stage**.

Definition 12 (the recurring-revenue metrics)

- **ARR (Annual Recurring Revenue)** — the annualised value of subscription revenue under contract; **MRR** is its monthly form. The base on which all SaaS health is measured.
- **Churn** — the rate at which revenue or customers are lost per period. **Customer churn** counts logos lost; **revenue churn** (gross) counts the ARR lost from cancellations and downgrades.
- **NRR (Net Revenue Retention)** — the ARR this period from **last period’s** customers, including expansion (upsell, cross-sell, seat growth) and net of churn and downgrades, expressed as a percentage of their prior ARR. **NRR above 100% means the existing base grows by itself** even with zero new customers — the single most powerful SaaS signal.
- **CAC (Customer Acquisition Cost)** and **LTV (Lifetime Value)** — as defined in BUS23-2; for SaaS, $LTV \approx \frac{ARPA \times \text{gross margin}}{\text{churn rate}}$, so churn is the hidden lever inside LTV.

- **LTV:CAC** — the ratio of lifetime value to acquisition cost; the headline efficiency test.



Figure 5: The Net Revenue Retention bridge. Start from last period’s ARR (100). **Expansion** within the existing base adds revenue (+25); **churn and downgrades** subtract it (− 15). Ending at 110 gives $NRR = 110\%$ — the existing customers, as a group, **grew** without a single new logo. NRR below 100% means the bucket leaks faster than it fills, and new-customer acquisition is merely running to stand still.

5.2 Reading the metrics together — and the thresholds that depend on stage

No single metric is a verdict; **strategic health is the configuration**. High growth with NRR below 100% and LTV:CAC below 1 is a leaking bucket papered over by fundraising. Modest growth with NRR of 120% and LTV:CAC of 4 is a quietly excellent business. And the **same number means different things at different stages**.

Definition 13 (viability thresholds by growth stage) Rules of thumb — to be applied with the stage, never as absolutes:

- **LTV:CAC** ≥ 3 is the classic healthy benchmark; **below 1** the firm loses money on every customer; **far above 5** may signal **under-investment** in growth, not virtue.
- **CAC payback** (months of gross margin to recover CAC) under 12 months is healthy for most SaaS; early-stage firms tolerate longer paybacks while they learn.
- **NRR** $\geq 100\%$ is good; $\geq 120\%$ is best-in-class (enterprise); SMB- focused SaaS structurally runs lower because small customers churn more.
- **Churn**: low single-digit **annual** logo churn is healthy for enterprise; **monthly** churn in low single digits is normal — and very different — for SMB/self-serve.
- **Growth**: an early-stage firm is judged on **growth and the trajectory of these ratios**; a mature firm is judged on **NRR, margin, and cash efficiency** (the “rule of 40”: growth rate + profit margin ≥ 40). Applying a mature firm’s thresholds to a seed-stage firm — or vice versa — is the most common misreading.

Common pitfall The metrics are easy to **game and to misread**. Watch for: **blended CAC** hiding that paid acquisition is far more expensive than organic; **LTV computed with an optimistic churn assumption** (LTV is inversely proportional to churn, so a small churn understatement inflates LTV enormously); **NRR flattered by a few whales** expanding while the long tail churns; **ARR that includes one-off or non-recurring revenue**. And

never quote a ratio **without its stage**: LTV:CAC of 2 is alarming for a mature firm and unremarkable for one in its first year of monetisation. The discipline is BUS33-2's: **tie every metric to a defensible number and a stage**, and read the **pattern**, not the headline.

Worked example — Two SaaS companies, same growth, opposite health. Both firms grow ARR 60% this year. Firm A: NRR 118%, LTV:CAC 4, CAC payback 11 months, 2% annual logo churn — the growth is **efficient and self-reinforcing**; even at zero new sales it would grow 18%, and every acquisition dollar returns four. Firm B: NRR 95%, LTV:CAC 1.2, CAC payback 28 months, 25% logo churn — the growth is **bought**: the base **shrinks** without constant acquisition, and each customer barely repays its acquisition cost before leaving. Same top-line story; A is a compounding asset and B is a treadmill. The strategic recommendation follows directly: A should **press the accelerator** (raise CAC spend while LTV:CAC stays healthy); B must **fix churn before spending another euro on growth**, because scaling a leaky bucket only leaks faster.

Exercises

13. For a real SaaS company, gather (or estimate from public filings) ARR growth, NRR, churn, CAC payback, and LTV:CAC, and write a one-paragraph health verdict that reads the **pattern**, not any single metric.

14. State the firm's growth stage and name the thresholds that apply **at that stage**; show how the verdict would change if you wrongly applied a different stage's thresholds.

15. Take a flattering headline metric (e.g. LTV:CAC of 8 or ARR growth of 200%) and construct the way it could be hiding a weakness — gaming, blending, or stage mismatch.

6 Ecosystem and platform-portfolio strategy

6.1 The phone that is worth nothing without its apps

An iPhone with no App Store is an expensive, limited device; the **million apps** built by developers Apple does not employ are most of its value. Apple's deepest moat is not its hardware but the **ecosystem** of complements wrapped around it — and the **switching cost** of leaving behind your apps, purchases, and data. This chapter is about strategy **one level up** from a single platform: how a firm uses an **ecosystem and an API** to create lock-in, how it decides whether to **build, buy, or partner** for each capability, and how giants like Alphabet, Meta, and Microsoft manage a **portfolio** of platforms rather than one.

Definition 14 (ecosystem and API strategy) An **ecosystem** is the network of **complementors** — developers, partners, accessory and content makers — whose products increase the platform's value (Chapter 1's sixth force). An **API (Application Programming Interface)** is the controlled interface through which the platform lets complementors build on it. API strategy is a **deliberate trade-off**: an **open** API attracts a large complement ecosystem and accelerates network effects but cedes control and a share of the value; a **closed or selectively gated** API preserves control, quality, and capture but starves the ecosystem. The strategic lever is **how open, to whom, and on what terms** — and platforms routinely tighten an API once they no longer need the ecosystem to grow (the “embrace, then control” pattern).

Definition 15 (ecosystem lock-in) **Ecosystem lock-in** is the switching cost created when a user's **complements** — apps, data, integrations, content, skills, partner relationships — are tied to one platform, so leaving means abandoning them. It is often a **stronger and more durable moat than the core product itself**, because the rival must replicate not just the product but the **entire surrounding ecosystem**. The test (BUS33-2's VRIO durability lens) is whether a rival could realistically rebuild the complements at comparable depth — if not, the lock-in is real.

6.2 Build, buy, or partner

Definition 16 (make-build-buy-partner logic) To add a capability or enter an adjacency, a platform chooses among:

- **Build (make)** internally — best when the capability is **strategically core**, must be deeply integrated, and the firm has the competence; it is slow and costly but yields full control and capture.
- **Buy (acquire)** — best when **speed** matters, the target holds a scarce asset (a team, a user base, IP) that is hard to build, and integration is feasible; it is fast but expensive and integration-risky.
- **Partner** — best when the capability is **complementary but not core**, when neither side should own the other, and when optionality matters; it is cheap and flexible but cedes control and creates dependency.

The decision turns on **how core the capability is**, **how fast you need it**, and **how much control the strategy requires** — and the honest analysis states the **trade-off explicitly**, not just the chosen option.

How core to strategy →

Urgency ↑	Buy need it fast, not deeply core	Build fast $\wedge$ core: acquire-to-build
	Partner complementary, not urgent	Build core, can wait: build in-house

Figure 6: A build-buy-partner heuristic. **Core and patient** → build. **Core and urgent** → buy a team or asset and integrate (acquire-to-build). **Non-core and urgent** → buy a finished capability. **Non-core and patient** → partner. The axes — strategic centrality and urgency — are the two questions that should drive the choice; control and capture are what each cell trades away.

6.3 Platform portfolios: Alphabet, Meta, Microsoft

Definition 17 (platform-portfolio management) A **platform portfolio** is a set of platforms a firm runs together, managed so they **reinforce** one another: a shared identity layer (one login across products), shared data, shared infrastructure, and cross-promotion

that lets a strong platform **bootstrap** a new one (Chapter 3's piggybacking at corporate scale). The portfolio question is which platforms to **own**, how they **feed each other**, and where a new platform can ride the network effects and user base of an existing one rather than cold-starting alone.

Worked example — Three portfolios, three logics. Alphabet runs Search, Android, YouTube, Chrome, Maps, and Cloud as a portfolio glued by a single identity and an advertising engine: Android and Chrome **defend** Search (the cash engine) by guaranteeing distribution, while data flows across them sharpen ad targeting. Meta runs Facebook, Instagram, WhatsApp, and Messenger as a **social-graph** portfolio — one identity, cross-promotion that bootstrapped Instagram and Reels off the existing base, and shared ad infrastructure. Microsoft runs Windows, Office/Microsoft 365, Azure, LinkedIn, and GitHub as an **enterprise** portfolio where each lowers the switching cost of the others (Office → Azure → GitHub form an interlocking stack with one corporate identity). In each case the portfolio is not a conglomerate of unrelated bets (the unjustified-diversification failure of BUS33-2) but a set of platforms with **real value-creating links** — shared identity, data, distribution. The test of a good portfolio is exactly that link; without it, it is diversification dressed as synergy.

Common pitfall Two errors haunt ecosystem and portfolio strategy. First, **opening or closing the API at the wrong time**: open too long and a complementor captures the value or becomes a rival (a platform that lets a third party own the customer relationship); close too early and the ecosystem never reaches critical mass. Second, **mistaking a conglomerate for a portfolio**: unrelated platforms with no shared identity, data, or distribution create **complexity cost** with no reinforcement — BUS33-2's unjustified diversification at platform scale. Always ask of a portfolio: **what concrete asset (identity, data, distribution) flows between these platforms?** If the honest answer is “none”, it is not a portfolio.

Exercises

16. For a named platform, evaluate its API/ecosystem strategy as a source of lock-in: how open is the API, what complements create the switching cost, and could a rival realistically rebuild them?
17. Take a real capability decision a platform faced and justify build vs buy vs partner using the centrality/urgency axes, stating explicitly the control and capture each option trades away.
18. Map the platform portfolio of Alphabet, Meta, or Microsoft: name the shared asset (identity, data, distribution) linking the platforms and the one that bootstrapped another, and judge whether any piece is unjustified diversification.

7 Data flywheels and AI moats

7.1 The map that gets better every time someone drives

Every time a driver uses Google Maps, the app learns: this road is slow now, this turn is usually missed, this address is really **there**. More users generate more data, which makes the product better, which attracts more users — a loop. When an AI advantage runs on a loop like this, it can become a **moat that compounds**. But the hottest claim in modern strategy — “we have

a data moat, our AI gets better with scale, so we will win” — is **true far less often than it is asserted**. This chapter gives you the test to separate a structural data advantage from a first-mover story dressed in machine-learning vocabulary. It is the platform-era sharpening of BUS33-2’s VRIO inimitability gate.

Definition 18 (the data flywheel) A **data flywheel** is a self-reinforcing loop in which **usage generates data**, **data improves the product** (better predictions, recommendations, matching, or models), and the **better product attracts more usage** — which generates yet more data. When it spins, the leader’s product improves faster than a rival’s **because** it has more users, and the gap widens with scale. It is the AI-era form of the network-effect flywheel (Chapter 2), but driven by **data accumulation** rather than direct user-to-user value.

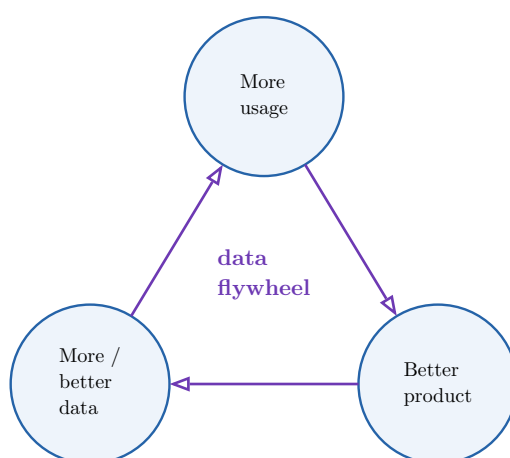


Figure 7: The data flywheel. Usage produces data, data improves the product, and the better product draws more usage — compounding the leader’s advantage with scale. Whether this loop is a **durable moat** or a **temporary lead** depends entirely on the replication test below: a loop that spins is not automatically a loop a rival cannot start.

7.2 The replication test: structural moat or first-mover narrative?

Definition 19 (the replication test) An AI/data advantage is **structurally durable** only if a well-resourced rival **cannot replicate the data that drives it**. Run the test by asking:

1. **Is the data unique and non-replicable?** Or could a competitor buy, scrape, license, or generate equivalent data? (Public or purchasable data is **not** a moat.)
2. **Does more data keep improving the product, or does it plateau?** Many models hit **diminishing returns** — beyond some volume, extra data barely helps, so the leader’s head start stops compounding.
3. **Is the data fresh-flow-dependent or a one-time stock?** A loop that needs **continuous** proprietary data (live traffic, live fraud signals) is far more defensible than a one-time dataset a rival can also assemble.
4. **Does the advantage transfer or is it narrow?** Data that improves one narrow task may not confer advantage in adjacent ones.

Only an advantage that passes — **unique data, non-plateauing returns, fresh-flow-dependent, and hard to substitute** — is a structural moat. Fail any, and it is a **temporary lead** a competitor will close.

Common pitfall The **first-mover narrative** is the dominant strategic mistake of the AI era: a company (or its investors) declares a “data moat” because it got there first and has a lot of data, and reasons that scale guarantees a widening lead. The replication test punctures this in four common ways: the data turns out to be **purchasable or public** (no rarity); the model **plateaus** so the head start stops mattering; a competitor reaches **good-enough** quality at far lower data volume (the moat assumed a steeper data-quality curve than reality); or a **foundation model** trained on general data matches the specialist without the proprietary set at all. “We have more data” is the AI-era cousin of BUS33-2’s “we have a great brand” — possibly true, possibly an erodible, imitable, temporary edge. **Default to sceptical: assume a data advantage is temporary until the replication test proves otherwise.**

Worked example — Two data moats: one real, one a story. Real: a fraud-detection network that sees live transactions across thousands of merchants has a **fresh-flow** data advantage — fraud patterns shift weekly, the data is proprietary and continuously regenerated, and returns do not plateau because adversaries keep adapting. A rival starting today cannot buy last week’s live fraud signal across that network. Passes the test. **A story:** a startup claims a moat because it fine-tuned a model on a few thousand labelled examples of a common task. The data is **cheaply re-labellable**, the task **plateaus** quickly, and a general foundation model soon matches it with no special data at all — a first-mover lead, not a moat. The two look identical in a pitch deck (“proprietary data → AI advantage”); the replication test is what tells them apart, and it is the single most valuable habit this chapter teaches.

Exercises

19. For a company claiming an AI/data advantage, run the four-part replication test and classify the advantage as structural or temporary, with the evidence for each answer.
20. Find a “data moat” that eroded (a competitor or a foundation model caught up) and identify which part of the replication test it failed.
21. Design a data flywheel for a hypothetical product such that it would **pass** the replication test — specify the unique, fresh-flow data and why returns would not plateau.

8 Disruption in platform markets

8.1 The cheap, bad product that ate the premium one

The hard-disk makers who dominated each generation were not lazy or stupid; they listened carefully to their best customers, invested in the improvements those customers asked for, and were destroyed anyway by a **worse, cheaper** product they had every reason to ignore. Clayton Christensen’s **disruption** theory explains this recurring pattern — and it carries over, with a twist, to platforms and AI. BUS33-2 listed disruption among the things to watch; here we use its **precise mechanism**, because “disruption” is the most abused word in business and most things called disruptive are merely **new** or **better**.

Definition 20 (asymmetric disruption) Disruptive innovation (Christensen) is not simply a better or newer product. It is a product that enters at the **bottom** of a market (or in a **new-consumption** segment of non-customers), serving the **least demanding** customers with something **cheaper, simpler, and initially inferior** on the metrics incumbents prize. Because it underperforms on those metrics, incumbents **rationally** cede the low end (it is their least profitable business) and move upmarket. The disruptor then **improves** until it is good enough for the mainstream — and the incumbent, structurally anchored to high-end customers and margins, cannot respond in time. The **asymmetry** is the key: the incumbent's most rational move (chase profitable high-end customers) is exactly what dooms it.

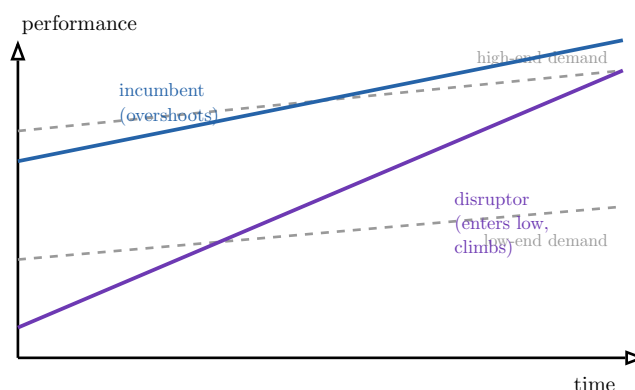


Figure 8: Christensen's disruption diagram. The incumbent (blue) improves fast and eventually **overshoots** what mainstream customers can use, chasing high-end demand. The disruptor (purple) enters **below** even low-end demand — too poor to interest the incumbent — then climbs until it crosses into the mainstream band and captures the market from below. The incumbent's upmarket flight is rational at every step and fatal in sum.

8.2 Applying it to platforms — and reading the incumbent's response

Definition 21 (disruption mechanisms in platform markets) On platforms, disruption takes platform-specific forms: a **new-consumption** platform serves non-customers a previous market ignored (smartphones brought computing to people who never owned a PC; low-end marketplaces serve sellers too small for incumbents); a **new digital-identity or interaction form** changes how users transact (social login, super-apps); a challenger uses a **different business model** (free-and-ad-supported against paid; a data flywheel against a static product) that the incumbent's economics cannot match without cannibalising itself. The disruption mechanism is whatever lets the entrant grow in space the incumbent is **structurally unwilling** to defend.

Definition 22 (rational inertia versus strategic error) When an incumbent fails to respond to a disruptor, distinguish two cases. **Rational inertia**: the non-response was **individually rational at each step** — defending the low end would have destroyed more margin than the threat then justified, and the firm's resources, processes, and values (its activity system, BUS33-2) were genuinely unsuited to the new model. **Strategic error**: the firm **could** have responded — it had the capability and the warning — but misjudged the threat, mismanaged the response (a half-hearted “me-too” that straddled), or let internal politics protect the legacy business. The analyst's job is to say **which**, because the corrective

lesson differs entirely: rational inertia calls for a **structurally separate** unit free of the core's economics; strategic error calls for **better judgement and commitment** in the core.

Common pitfall Two opposite misreadings. First, calling **everything** “disruption”: a premium entrant with a **better, more expensive** product (a luxury EV, a high-end phone) is **sustaining** innovation, not disruptive — it attacks from **above**, and incumbents usually see it coming and can respond. Reserve “disruptive” for the **attack from below or from non-consumption**. Second, treating every incumbent failure as stupidity: much of it is **rational inertia**, and labelling rational inertia as “they should have just responded” misses that the response would have been **irrational** given their economics at the time — which is precisely why a separate unit, not more willpower, is the cure.

Worked example — Disruption and the incumbent's choice. Netflix's mail-DVD service entered **below** Blockbuster's quality on the metric Blockbuster prized (instant gratification — you waited days for a disc), serving price-sensitive non-impulse renters. Blockbuster's non-response was **partly rational inertia** (its store-and-late-fee economics were genuinely hostile to a no-late-fee mail model) and **partly strategic error** (it had the resources to build a serious competitor and moved too late and half-heartedly). Naming the split matters: the rational-inertia part argued for a **separate** unit with its own economics; the strategic-error part was a failure of judgement and commitment that no structure would have fixed. A good disruption analysis does not just shout “disruption” — it identifies the **mechanism** (cheaper, new-consumption model) and **diagnoses the response** as inertia, error, or the realistic mix of both.

Exercises

- 22.** Take a platform-market case and determine whether the challenger is genuinely **disruptive** (attacks from below / non-consumption) or merely a **sustaining** improvement, with the evidence.
- 23.** Identify the specific disruption mechanism (new consumption, new digital identity, different business model) and the segment the incumbent was structurally unwilling to defend.
- 24.** Diagnose the incumbent's response as rational inertia, strategic error, or a mix, and state the corrective move each part implies.

9 Cross-functional coherence audit

9.1 When the press release and the spending disagree

A company tells the world it is “an AI-first company betting everything on the cloud.” Then you look at where its money, its engineers, and its new hires actually go — and three-quarters flow to the legacy product it claims to be moving beyond. **The declared strategy and the revealed strategy disagree**, and the revealed one — where capital, talent, and operational design actually point — is the true one. A **cross-functional coherence audit** tests a company's stated strategy against the **evidence of its own choices**, on public data. It is one of the most powerful and least taught diagnostic skills, because a strategy that is incoherent across functions **will fail regardless of how good the slide deck is**.

Definition 23 (cross-functional coherence audit) A **coherence audit** compares a firm’s **declared strategy** (what management says in filings, earnings calls, and marketing) against its **revealed strategy** across functions:

- **Capital allocation** — where R&D, capex, acquisitions, and buybacks actually go (the cash flow statement and segment disclosures).
- **Engineering / product investment** — where the technical effort and headcount concentrate.
- **Operational design** — how the organisation, supply chain, and processes are actually structured.
- **Hiring patterns** — what roles the firm is recruiting for, at what seniority, in what geographies (public job postings).

A strategy is **coherent** when these align with the declared direction and **with each other**; **contradictions** — money flowing one way while words point another — reveal either a strategy not truly being executed, or a declared strategy that is theatre.

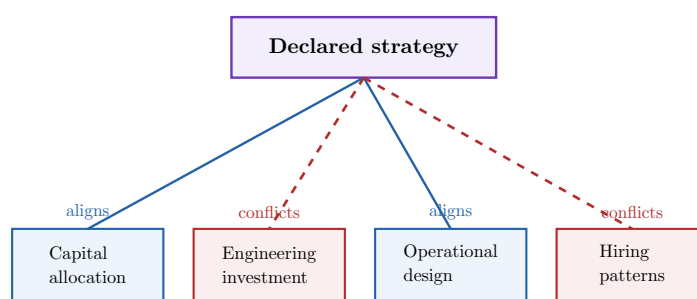


Figure 9: A coherence audit. The declared strategy (top) is tested against four functional streams of evidence. Solid links **align**; dashed links **contradict**. The contradictions are the finding: here, capital and operations follow the declared strategy but **engineering investment and hiring** still serve the legacy business — a strategy announced but not actually being executed where it counts.

9.2 Interpreting the contradictions

Common pitfall The audit’s value is in **resisting the official narrative**. Management has every incentive to declare the strategy investors reward (today: “AI-first”, “platform”, “cloud”) whether or not the firm is executing it. The disciplined analyst **trusts the cash flow statement and the job board over the earnings call**: capital allocation and hiring are **costly signals** that are hard to fake, while words are free. But interpret carefully — a contradiction can mean (a) the strategy is **theatre**, (b) the strategy is **real but early** (the spending will follow, and you are seeing a genuine transition mid-flight), or (c) the firm is **deliberately milking** a legacy business to fund the new one (a coherent choice that **looks** contradictory). Name **which**, with evidence; do not just flag the mismatch. A coherence audit that lists contradictions without interpreting them is half an analysis.

Worked example — Reading coherence from public data. Suppose a firm declares a pivot to cloud and AI. The coherence audit checks: does **capital allocation** show capex and R&D shifting to data centres and AI talent, or still pouring into the legacy line? Do **job postings** skew to ML engineers and cloud architects, or to roles that sustain the old product? Is the **org** being restructured around the new business, or is it a side project under a legacy

P&L that will starve it? If capital, hiring, and org all swung to cloud over two years, the pivot is **real** and the analyst should believe it over any single bad quarter. If the words swung but the money and the hiring did not, the pivot is **theatre**, and the strategically honest verdict is that the declared strategy is **not being executed** — a conclusion reachable entirely from public filings and a job board, which is exactly the point.

Exercises

25. Pick a public company with a bold declared strategy. Gather evidence on capital allocation, engineering/product focus, operational design, and hiring (from filings and job postings) and score each as aligned or contradictory.
26. For each contradiction you find, interpret it as theatre, real-but-early, or deliberate legacy-milking, and state the evidence that distinguishes them.
27. Write a one-paragraph verdict on whether the declared strategy is actually being executed, citing the costly signals (money, hiring) that you trust over the narrative.

10 Strategy under uncertainty

10.1 Why “optimistic and pessimistic” is not scenario planning

Asked to plan for an uncertain future, most teams produce three forecasts — optimistic, base, pessimistic — that differ only in a single dial: how **fast** the same future arrives. That is not scenario planning; it is one scenario with the volume turned up and down. Real uncertainty in technology is **structural**: the future could be shaped by **which** of several **qualitatively different** worlds occurs — AI commoditises and margins collapse, **or** AI concentrates and a few platforms capture everything; regulation fragments the market, **or** it entrenches incumbents. A strategy must be **stress-tested against structurally different worlds**, and the deliverable — for the S6 Allocate capstone that consumes this course — is a clear judgement of **which strategic elements are robust across worlds and which are fragile to one**.

Definition 24 (structurally different scenarios) Structurally different scenarios are coherent, plausible future worlds that differ not in **degree** (faster/slower growth) but in **kind** — driven by different resolutions of the **key uncertainties** that matter most and are least predictable. Build them by (i) identifying the two or three uncertainties with the **highest impact and lowest predictability**, (ii) crossing them to define a small set of distinct worlds, and (iii) making each world **internally coherent and named**, so the organisation can reason inside it. The test of a good scenario set is that the **same strategy succeeds in some worlds and fails in others** — if your strategy wins in all of them, your scenarios are not structurally different.

AI / data concentration →		
Regulatory regime ↑	Open ecosystems commoditise AI margins compress, many players	Few platforms own AI + data winner-takes-most, fat margins
	Regulation fragments market regional champions, no global winner	Incumbents entrenched regulation raises barriers, locks leaders

Figure 10: A structural-scenario matrix. Two **high-impact, low-predictability** uncertainties — here, whether AI concentrates or commoditises, and how regulation lands — cross to define four **qualitatively different** worlds, not four speeds of one world. A strategy is then stress-tested in each cell: the elements that survive **every** cell are robust; those that need one particular cell are fragile.

10.2 Stress-testing a strategy: robust versus fragile elements

Definition 25 (strategy stress-test) A **strategy stress-test** runs a firm’s current strategy through each structural scenario and asks, element by element: **does this choice still create value in this world?** Elements that pay off in **every** scenario are **robust** (no-regret moves — worth doing regardless). Elements that pay off in **only one** are **fragile** — bets on a particular world that should be hedged, staged as **real options** (small reversible commitments that can be scaled if the world resolves favourably), or explicitly accepted as risks. The output is not a prediction of which world will occur but a **portfolio of moves sorted by robustness**, which is exactly what BUS63-4 Strategic Allocation converts into capital decisions.

Common pitfall Three failures recur. First, **disguised single-scenario planning**: optimistic/base/pessimistic variants of one future, which test nothing structural. Second, **analysis paralysis** — building so many scenarios that no decision follows; **two to four** well-chosen worlds beat ten. Third, **predicting instead of preparing**: scenario planning is not forecasting which world will happen; it is **building a strategy that does not depend on guessing right**. The mature output is a clear list of **no-regret moves** (do now), **real options** (small stakes to keep), and **bets** (fragile elements you consciously hedge or accept) — not a bet on one forecast dressed as analysis.

Worked example — Stress-testing an AI strategy. A software firm’s strategy rests on three elements: (a) build proprietary AI features on a **data flywheel**, (b) stay on a single dominant cloud provider for speed, (c) keep its API closed to capture all value. Stress-test against the matrix. **Robust**: deepening genuine, fresh-flow data (Chapter 7) pays off whether AI concentrates or commoditises — a no-regret move. **Fragile**: the single-cloud bet wins if that provider stays dominant but is a liability if regulation forces portability or the provider raises prices — hedge with multi-cloud optionality. **Fragile**: the closed API wins in the “few platforms own everything” world but loses in the “open ecosystems commoditise” world, where an open ecosystem would have built the network effect — stage it as a reversible choice, not a permanent commitment. The deliverable is precisely this sorting: **deepen the data (robust)**,

hedge the cloud (option), keep the API decision reversible (bet) — a strategy that does not require knowing which world arrives.

Exercises

28. For a tech market, identify the two highest-impact, least-predictable uncertainties and cross them into four named, internally coherent scenarios — verifying that a single strategy would **not** win in all four.

29. Take a real company's strategy, break it into 4–6 elements, and stress-test each across your scenarios, sorting them into robust (no-regret), option, and fragile (bet).

30. For one fragile element, design a real option — a small, reversible commitment — that preserves upside if its world arrives without betting the firm on it.

11 Integrated competitive analysis under time constraint

11.1 The test of whether the tools have become judgement

Every chapter has handed you one instrument: platform versus pipeline, network effects, multi-sided design, winner-takes-most, SaaS metrics, ecosystem and portfolio strategy, data moats, disruption, coherence, and scenarios. The capstone plays them together — take a **real** technology company and produce **one unified competitive analysis** that integrates platform economics, SaaS metrics, ecosystem positioning, and AI strategy into a single defensible recommendation, delivered in **pyramid structure** under a **time constraint**. This is the deliverable BUS63-4 Strategic Allocation consumes, and the moment this course has been building toward. As in BUS33-2, the test is not how many frameworks appear but whether they **converge** on one quantified, falsifiable move.

11.2 Pyramid structure: answer first, under time pressure

Definition 26 (the pyramid principle) Pyramid structure (Minto) delivers a recommendation **answer-first**: state the single governing recommendation at the top, support it with a small number (typically three) of **MECE** (BUS33-2) supporting arguments, and support each argument with evidence beneath it. The reader grasps the conclusion immediately and descends only as far as they need. Under a time constraint this is not a stylistic nicety — it is the only structure that **guarantees you state the recommendation** before time runs out, and it forces the **hypothesis-led discipline** of BUS33-2: lead with the answer, then marshal the evidence that confirms or refutes it, rather than narrating the analysis and hoping a conclusion emerges.

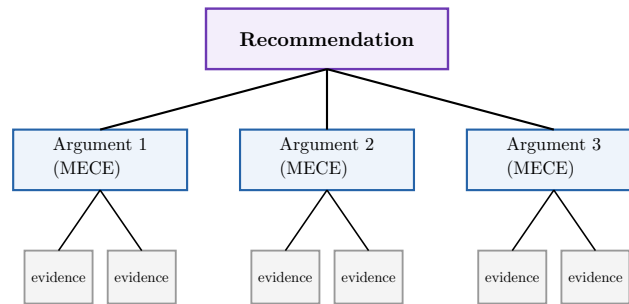


Figure 11: The pyramid. The governing **recommendation** sits at the apex, stated first. Three **MECE** arguments support it, each resting on evidence. The reader meets the conclusion immediately and descends only as needed — the structure that makes a recommendation **survive a time constraint**, because the answer is delivered before the analysis is exhausted.

11.3 A protocol for the integrated tech-company analysis

The integrated analysis protocol

1. **Frame the business.** Classify pipeline / platform / hybrid (Chapter 1); state the industry boundary and where Five Forces breaks; identify the value created and captured.
2. **Network and market structure.** Diagnose the network effects (direct/indirect, fly-wheel/ congestion, Chapter 2); apply the multi-sided framework if relevant (Chapter 3); score the winner-takes-most drivers and the limits — multi-homing, niches, regulation (Chapter 4).
3. **Economic health.** Read the SaaS metrics — ARR growth, NRR, churn, CAC payback, LTV:CAC — **against the stage's thresholds** (Chapter 5), reading the pattern, not a single number.
4. **Ecosystem and AI moat.** Evaluate the ecosystem/API as lock-in and the portfolio links (Chapter 6); run the **replication test** on any AI/data advantage (Chapter 7).
5. **Dynamics and threats.** Assess disruption — is a challenger genuinely disruptive, and is the incumbent's response inertia or error (Chapter 8)?
6. **Coherence.** Audit declared versus revealed strategy across capital, engineering, operations, and hiring (Chapter 9).
7. **Uncertainty.** Stress-test the strategy against structurally different scenarios; sort moves into robust, option, and bet (Chapter 10).
8. **Recommend.** State one **quantified, falsifiable** recommendation in **pyramid structure** — three MECE arguments, each tied to evidence — making explicit any conflict between strategic and financial logic (BUS33-2).

Common pitfall The capstone failure is the **framework parade**: running all ten tools, producing a fat deck, and recommending nothing decisive. A unified analysis is judged by whether the frameworks **converge** on one specific, quantified, falsifiable move. “Strengthen the platform” is not a recommendation; “open the API to third-party developers within two quarters to restart the network-effect flywheel, accepting a 5-point take-rate cut, because the replication test shows the current data moat is temporary and multi-homing is rising” is. Before you present, ask of every framework you ran: **does it change the recommendation? If not, cut it.** The pyramid has room for three arguments, not ten analyses.

Worked example — From ten tools to one move. A unified analysis of a mid-scale SaaS-plus-AI platform might run: it is a **hybrid** (SaaS pipeline with a developer-platform side); network effects are **real but local and multi-homed**, so it will **not** fully tip (Chapter 4); SaaS metrics are **mixed** — strong NRR (118%) but a deteriorating CAC payback signalling acquisition is getting harder; the celebrated **AI data moat fails the replication test** (the data is largely purchasable and the model plateaus); the **coherence audit** shows engineering still pouring into the legacy product despite an “AI-first” narrative. The frameworks **converge**: the durable asset is the **expansion within existing customers** (NRR), not the AI story or a winner-takes-most fantasy. The single move, pyramid-first: **“Reallocate from paid acquisition and the over-hyped AI moat to deepening expansion in the installed base and restarting the ecosystem flywheel”** — supported by three MECE arguments (NRR is the real engine; the AI moat is temporary; acquisition economics are decaying), each tied to evidence, quantified by the NRR and CAC-payback figures, and falsifiable by a cohort test. One move, every framework pointing at it — exactly what Strategic Allocation needs to convert into a capital decision.

Exercises

- 31.** Produce a complete integrated analysis of a real technology company following the eight-step protocol, with each diagnosis tied to evidence and each framework’s boundary stated.
- 32.** Distil it into a single quantified, falsifiable recommendation in **pyramid structure**: one governing thought, three MECE arguments, evidence beneath each — and make explicit any conflict between strategic and financial logic.
- 33.** Under a strict time limit (e.g. 60 minutes), deliver the recommendation answer-first, then defend it against the three hardest questions a practitioner who knows the company would ask — including the one piece of evidence you most wish you had.

Tech & platform strategies, in one paragraph. The classical tools you brought from Build and Compete still work — but in the platform economy they bend, and knowing **where** is the whole skill. First decide whether you face a **pipeline or a platform**, because value creation, value capture, and Five Forces all behave differently once the firm sits **between** users instead of producing for them. Read self-reinforcement with **network effects** — direct and indirect, flywheel and congestion — and never assume scale is automatically good or a network effect is automatically a moat. Design and diagnose **multi-sided markets** by naming the subsidised and money sides and the bootstrap that reaches **local** critical mass. Judge **winner-takes-most** from the configuration of its drivers, and state where dominance stops — multi-homing, niches, regulation. Read SaaS **strategic health** from ARR, NRR, churn, CAC payback, and LTV:CAC **against the stage’s thresholds**, as a pattern not a headline. Treat the **ecosystem and API** as lock-in, decide **build-buy-partner** on centrality and urgency, and manage a **portfolio** only where a real asset — identity, data, distribution — flows between platforms. Subject every AI claim to the **replication test**: unique, non-plateauing, fresh-flow, hard-to-substitute data, or it is a first-mover story. Use Christensen **precisely** — attack from below or non-consumption — and diagnose the incumbent’s silence as rational inertia or strategic error. **Audit coherence**: trust capital allocation and hiring over the earnings call. Plan under uncertainty with **structurally different scenarios**, sorting moves into robust, option, and bet. Then integrate all of it into **one** unified analysis and deliver it **answer-first in pyramid structure under time pressure** — converging

on a single quantified, falsifiable move. Three questions, always, when you meet a platform, a flywheel, or an AI claim: **what makes this self-reinforcing, who can replicate it, and at what scale does it tip?**